

6.3 Top Three Product-Market Fit Metrics

1. Customer Retention Rate

Tracking customer retention is essential for evaluating product-market fit. The **retention rate** measures the percentage of customers who continue using your product or service after an initial purchase.

A high retention rate indicates strong customer satisfaction and product value, while a low rate signals potential gaps in user experience or product positioning. By analysing these metrics, startups can refine their strategies to drive engagement and ensure long-term growth.

Gathering qualitative feedback from customers provides deeper insights into their experiences, frustrations, and needs. Instead of directly seeking solutions, focus on understanding their perspectives.

Listening to customer stories helps identify pain points and areas for improvement, enabling better product iterations. By **implementing feedback-driven enhancements**, businesses can foster loyalty, improve retention, and create a sustainable competitive advantage.

